

Qualcomm (QCOM US)

Datacenter Partially Discounted, More Visibility Needed

Initiation **Hold**
Target price \$203

Initiate with Hold: We initiate Qualcomm with a Hold rating and TP of \$203. Qualcomm is expanding into datacenter market, targeting FY27/FY29 datacenter revenue of \$5bn/\$15bn, vs. our forecasts of \$4.7bn/\$8.8bn in FY27E/FY28E. However, this opportunity is partly reflected in the share price since the Investor Day; that said, we will have to gain more visibility on AI250 competitiveness (i.e., high LPDDR5 prices, inferior scale-up, etc), ASP/progress of customer silicon and CPU business that is years away. We expect non-handset business to grow but see Android demand deterioration and further market share erosion. We forecast FY26E/FY27E EPS of \$10.7/\$11.3 and derive our TP on 18x FY27E EPS.

AI250 and datacenter business gain traction: The company has built a disaggregated Dragonfly platform - AI250 (HBC), accelerator/CPU, Alphawave's SerDes, and Modular's AI software stack to support a phased revenue ramp. Mgmt targets FY27/FY29 datacenter revenue of \$5bn/\$15bn, vs. our estimates of \$4.7bn/\$8.8bn in FY27E/FY28E, driven by AI250 and custom silicon. We see AI250 gain tractions with four major U.S. CSPs but see uncertainties over performance/cost profile which is narrowing, vs. HBM-based GPUs, due to high LPDDR5 prices and weaker scale-up. For custom silicon, we expect MSFT, META, and AWS to be key customers and believe the company's wafer allocation is one of the advantages especially for wafer-selling business. Lastly, CPU is years away due to roadmap.

Non-handset not just datacenters: The company raised non-handset revenue from \$22bn to \$40bn on June 24, with non-handset engine transitioning from a supporting role to the key driver, and the scale of that shift is larger than expected. Mgmt raised its FY29 non-handset revenue target from \$22bn to \$40bn, driven primarily by datacenter (\$15bn), and automotive (\$10bn) and IoT unchanged at \$14bn. Specifically, automotive provides long duration revenue visibility with rising silicon content per vehicle, while IoT offers recurring design wins.

Handset headwinds: We believe the view of Android's bottom-out is overly optimistic, given elevated wafer inventory on weak sell-through (while MTK's inventory is lean). Qualcomm's smartphone share has come under pressure from Apple's gain vs. Android, mid/low-end weakness, and Samsung's adoption of in-house Exynos. We expect further share erosion as competitors make inroads into OPPO's and vivo's Ultra, which are currently Snapdragon-based. On the positive side, we expect ASPs to be supported by price hikes and 2nm SoCs.

Risks: 1) AI slowdown; 2) smartphone softness; 3) new product delay; 4) competition.

Profit forecast

	FY24	FY25	FY26E	FY27E	FY28E
Revenue (m)	38,943	44,140	42,490	44,671	52,644
Revenue YoY (%)	8.7	13.3	-3.7	5.1	17.8
Net profit (m)	11,546	13,299	11,419	11,802	14,660
Net profit YoY (%)	21.7	15.2	-14.1	3.4	24.2
EPS (\$)	10.2	12.1	10.7	11.3	14.6
P/E	18.5	15.7	17.7	16.8	13.0
ROE (%)	43.9	62.7	60.5	52.4	58.3

Source: Company data, GF Securities (Hong Kong) Brokerage.

Please be sure to read the disclosures at the end of this report carefully.

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AI250 & Datacenter Business to Gain Traction

According to Qualcomm's Investor Day, the company has built a disaggregated Dragonfly platform including CPUs, accelerators, connectivity, and custom silicon, supported by hyperscaler wins. Key technology differentiators include its HBC architecture, accelerator/CPU roadmap, Alphawave's SerDes, Modular software stack, with a phased revenue ramp from connectivity (FY26) to custom silicon (FY27), accelerators (2H-FY27), and CPUs (2H-FY28). Mgmt provided FY27/FY29 datacenter revenue targets of \$5bn/\$15bn, compared to our forecast of \$4.7bn/\$8.8bn in FY27/FY28 driven by AI250 and customer silicon. That said, AI250 appears gaining traction, while the high LPDDR5 prices; together with inferior scale-up, suggest limited benefits, compared to that of GPGPUs.

Two critical acquisitions – Alphawave and Modular

In December 2025, Qualcomm completed \$2.4bn acquisition of Alphawave, a leader of high-speed wired connectivity IP, to strengthen its datacenter connectivity capabilities. Alphawave's core portfolio features advanced SerDes technologies alongside PCIe Gen 6, CXL, and UCIe. Qualcomm stated 224G SerDes solutions are expected to enter production by end-2026, while next-generation connectivity solutions based on 448G SerDes are targeted in 2028. We see strong strategic fit from this acquisition, as Alphawave adds critical high-speed connectivity capabilities to Qualcomm's datacenter portfolio, complementing its Oryon CPU, Hexagon NPU, and compute IP. We believe this integration positions Qualcomm as a full-spectrum player capable of serving custom silicon needs of major hyperscalers.

In June 2026, Qualcomm further acquired Modular for \$3.9bn, an AI-native software platform spanning AI compilers, inference engines, and orchestration to optimize AI workloads across heterogeneous compute architectures, renowned for creating Mojo and MAX engine. We believe the acquisition addresses the gap in Qualcomm's datacenter strategy by complementing hardware-centric Dragonfly portfolio with AI software stack. We see the primary synergy is Modular's open and flexible ecosystem could help Qualcomm lower software migration barriers and accelerate hyperscalers' adoption, dismantling Nvidia's CUDA moat and massive rewrite barriers, which enables Qualcomm's AI accelerators and custom silicon to be more viable for AI vendors.

AI200 the first AI accelerator with limited excitement

Qualcomm AI200 was officially announced on October 27, 2025, alongside the AI250, as Qualcomm's entry into the rack-scale AI inference market. The AI200 is scheduled to become commercially available in 2026, while the AI250 will follow in 2027. At launch, Qualcomm positioned AI200 as a high-memory, cost-efficient inference accelerator optimized for LLMs and multimodal AI, emphasizing performance-per-dollar and performance-per-watt rather than maximum compute throughput. Built on Qualcomm's Hexagon NPU architecture, AI200 integrates up to 768GB of LPDDR memory per accelerator, enabling up to 43TB of memory per rack while avoiding the high cost of HBM-based designs. The platform supports PCIe for scale-up and Ethernet for scale-out connectivity, features direct liquid cooling for high-density deployments.

AI250 a significant architecture evolution

According to Qualcomm, the AI250 is expected to enter production in 2027. Built on the company's Hexagon NPU architecture, AI250 supports up to 768GB of integrated LPDDR memory and introduces Qualcomm's High Bandwidth Compute (HBC) architecture, leveraging near-memory computing to reduce data movement between compute and memory. Compared with conventional accelerator architectures, Qualcomm claims AI250 delivers higher memory bandwidth and lower power consumption for large LLMs. This is to address the growing memory bandwidth bottleneck for LLMs. The AI250 is designed for disaggregated AI inference, enabling flexible deployment across hyperscale datacenters and enterprise AI infrastructure.

The company expects to launch its AI250, its first HBC product, in mid-2027, followed by AI300 roughly a year later. AI250 and AI300 are expected to provide 5-7x more bandwidth per watt versus HBM-based solutions.

Figure 1: AI200 vs. AI250

	AI200	AI250
Time	2H26	mid-2027
Process	SF 4nm	SF 4nm
AI core type	Hexagon Q7	Hexagon Q7+
On-chip SRAM		
Memory Spec	768 GB LPDDR	768 GB LPDDR (HBC Gen 1)
Memory Bandwidth	~7.4 TB/s	133 TB/s
TDP (W)	250	250
Scale-up	PCIe 6.0	PCIe 6.0
Scale-out	Ethernet	Ethernet

Sources: Company Data, GF Securities (Hong Kong) Brokerage

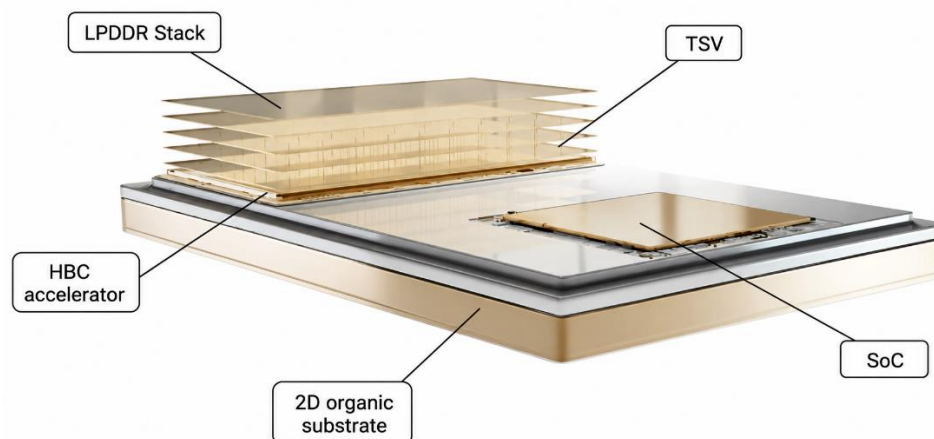
HBC the key differentiator of AI250

The AI250 introduces a 3D near-memory computing architecture, which vertically integrates compute logic and LPDDR within a single package to minimize data movement and overcome the traditional memory bandwidth bottleneck. Leveraging advanced 3D stacking, high-density through-silicon vias (TSVs), and wafer-on-wafer technologies, the architecture enables significantly higher effective memory bandwidth while improving energy efficiency. Qualcomm refers to this approach as High Bandwidth Compute (HBC), positioning it as a key architectural differentiator from conventional AI accelerators that rely on external memory interfaces.

The HBC is the same approach as C-HBM, by moving part of the AI accelerator's functionality — including the memory controller — down into the memory stack's base die, reducing the amount of data that needs to shuttle back and forth between the memory stack and the accelerator. HBC can also be paired with a CPU.

By combining the cost advantages of LPDDR with near-memory computing, Qualcomm claims AI250 delivers over 10× higher effective memory bandwidth, ~30% lower power consumption, and lower total cost of ownership (TCO) compared with traditional HBM-based inference accelerators.

Figure 2: Qualcomm's HBC



Sources: Company Data, GF Securities (Hong Kong) Brokerage

HBM on GPU (Throughput-Driven), vs. LPDDR5 on AI250 (Capacity-Driven)

The divergence between Qualcomm's AI250 (768GB LPDDR5-based "HBC" technology) and Nvidia's Blackwell Ultra (288GB HBM3e) represents a split in AI hardware design. Qualcomm leverages high-capacity LPDDR-based memory to optimize for "memory-bound" workloads, effectively creating a large capacity memory pool capable of hosting 1 Trillion+ parameter models in a single-node configuration, assuming small amount of KV Cache scenarios. Conversely, Nvidia's Blackwell architecture prioritizes memory bandwidth via HBM3e and high-speed NVLink interconnects, which already effectively pool the NVL72's memories. While Nvidia's single GPU'S 288GB capacity is small, the architecture achieves massive throughput—scaling up to 8–10 TB/s internal bandwidth—which is indispensable for minimizing the "memory wall" during high-intensity training and dense, concurrent inference.

The value proposition is context-dependent. The AI250 excels in "Long Context" scenarios, where the ability to store vast parameter sets and extensive KV caches in local memory prevent the latency penalties associated with disk swapping. In contrast, Blackwell is engineered for computational density and ecosystem scalability. Through native FP4 support and NVLink 5, Blackwell mitigates lower local capacity by creating "unified memory pools" across multi-GPU clusters. This allows the Nvidia ecosystem to maintain dominance in foundation model training and high-concurrency enterprise services, where raw computational throughput remains the primary performance driver.

Relatively, some investors would view these as complementary solutions. The LPDDR-based AI250 offers a compelling TCO play for inference-heavy deployments and massive document analysis, where capacity-to-cost ratio is paramount. However, the original cost advantages of LPDDR with near-memory computing, vs. HBM based GPU is diminishing, following the recent price outperformance of LPDDR5. Based on our analysis, Qualcomm AI250's LPDDR5 cost would be much higher, compared to Blackwell Ultra's HBM's, and the per Gb cost is also comparable. This suggests limited benefits of TCO.

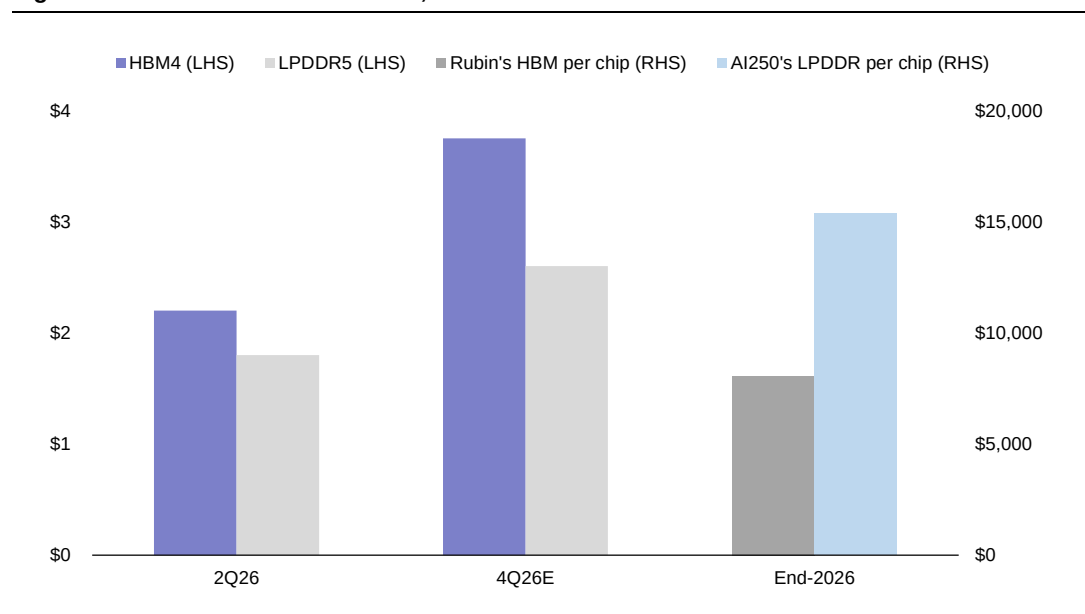
Figure 3: Blackwell Ultra's HBM, vs. AI250 LPDDR5

	Blackwell Ultra's HBM	AI250 LPDDR5
Architecture	HBM3e	LPDDR-based HBC Gen 1
Capacity	288GB	768GB
Bandwidth	8-10TB/s raw memory bandwidth	133TB/s effective memory bandwidth
Suitable Model	Large model with FP8 (multi-trillion parameters per rack)	Ultra-large model with low precision (up to 10T parameters per rack)

Sources: Company Data, GF Securities (Hong Kong) Brokerage

Note: AI250 133TB/s effective memory bandwidth is compared to competing published product specifications normalized at card- and rack-level

Figure 4: Cost of LPDDR5 vs. HBM4, \$/Gb



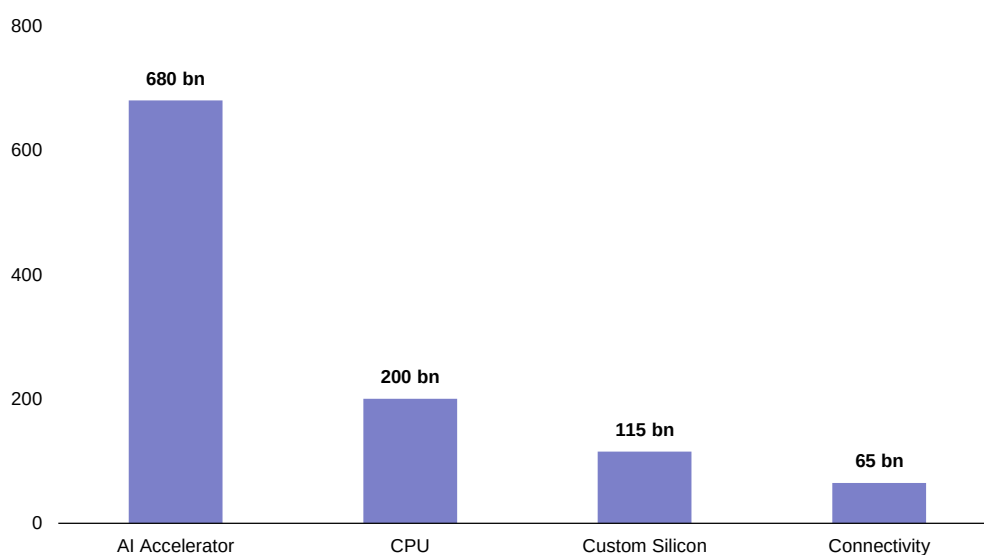
Sources: Company Data, GF Securities (Hong Kong) Brokerage

Qualcomm targets \$5b datacenter revenue in FY27 and \$15b+ in FY29

Qualcomm reiterated an aggressive expansion plan for its datacenter business, targeting approximately \$5b in revenue by FY27 and more than \$15b by FY29 on annual run rate. The company is building its datacenter portfolio around four product categories including connectivity solutions, custom silicon, AI accelerators, and server CPUs. Revenue is expected to increase from roughly \$300m in FY26, supported by two custom silicon engagements with global hyperscalers, each representing over \$1b in revenue opportunity. AI accelerator shipments are expected to ramp in late FY26, followed by connectivity products anchored by a major hyperscale customer.

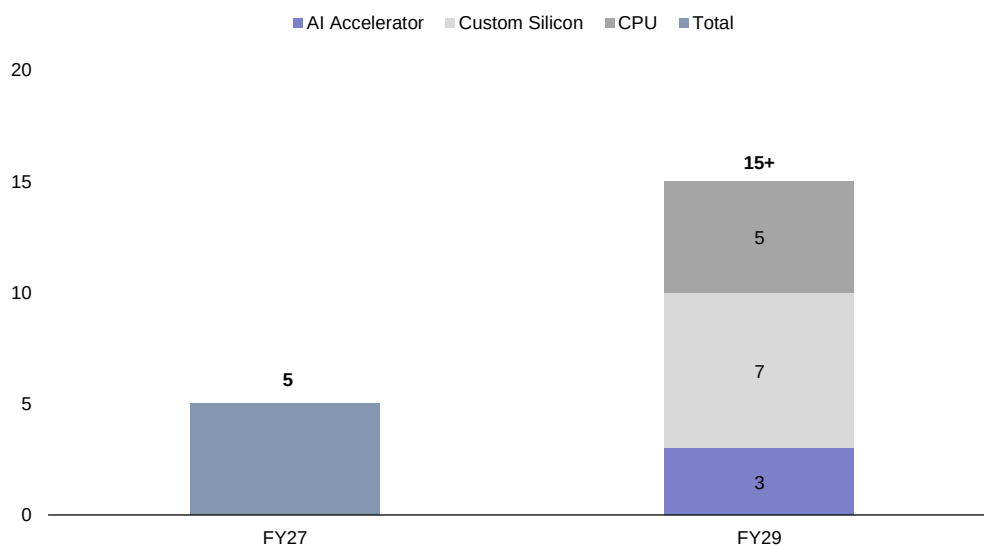
Looking further ahead, Qualcomm aims to capture more than 5% of \$1T+ AI infrastructure TAM over the next five to seven years. The company expects merchant AI accelerator deployments to ramp in 2H-FY27, custom silicon in FY27, with Meta, Microsoft, AWS, etc identified as key customers, while server CPU commercialization is targeted for 2H-FY28, with Meta as a strategic customer. Although custom silicon business generates gross margins below the corporate average, Qualcomm expects it to be accretive to operating margins through scale and operating leverage. The company also indicated that it has secured sufficient wafer capacity and memory supply to support its planned growth trajectory.

Figure 5: Qualcomm's TAM by FY29 for AI Accelerator, CPU, Custom Silicon, Connectivity



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 6: Qualcomm's datacenter revenue target by FY27 and by FY29 (USD bn)



Sources: Company Data, GF Securities (Hong Kong) Brokerage

We expect higher datacenter revenue of \$4.7bn and \$8.8bn in FY27 and FY28

Compared to Qualcomm's guidance of \$5b in revenue in FY27 and more than \$15b in FY29, we forecast the revenue to be \$4.7bn in FY27 and \$8.8bn in FY28, both higher than consensus.

For accelerators, we expect AI200/AI250 shipments to be 20-30k and 300-400k units in CY26 and CY27. Our higher unit forecast of AI250 is based on AI250's traction at U.S. CSP customers including 4 major ones, due to compute constrains with earlier favorable cost/performance profile assumption when memory/HBM prices normalizes the gap. This is inline with Qualcomm's comments of "Multi-generation portfolio with hyperscaler wins".

For custom silicon, as said, driven by 3 major customers, we expect it to be the main driver. We believe one of the key drivers is Qualcomm's wafer allocation at TSMC; hence, we believe some projects are selling wafers. Of course, in current foundry tightness, we expect the overall custom silicon's margin to be supported by the wafer business.

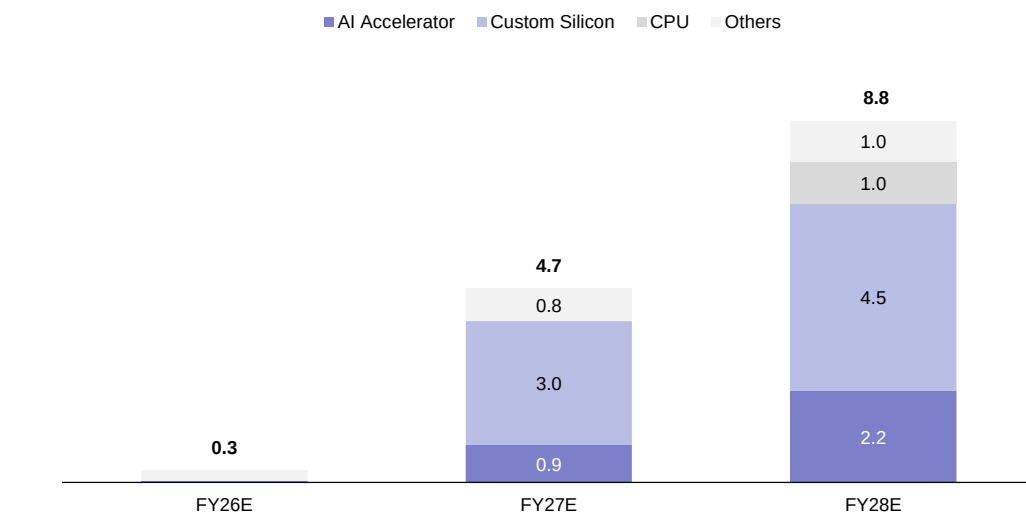
Additionally, for CPUs, we expect it to start ARM-based CPUs QSP2000, in mid-CY2028, with two variants including agentic CPU which has high throughput for orchestration and low latency for interactive AI use cases and general-purpose CPU which designed for performance and TCO. With Meta being its strategic customer and potential customers outside of U.S., we expect the volume to start strongly in 2H-CY2028 with 1.5-2.0m units.

Figure 7: Qualcomm's Dragonfly roadmap

	AI200	AI250	AI300	C1000
Code name	NordDC QAIR200	NordDC+ QAIR250	QAIR300	Rolas QSP2000
Time	2H26	mid-2027	1H28	mid-2028
Process	4FF	4FF	N3P	N2/N3
Application	AI XPU	AI XPU	AI XPU	CPU

Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 8: Our revenue estimates for Qualcomm's datacenter (USD bn)



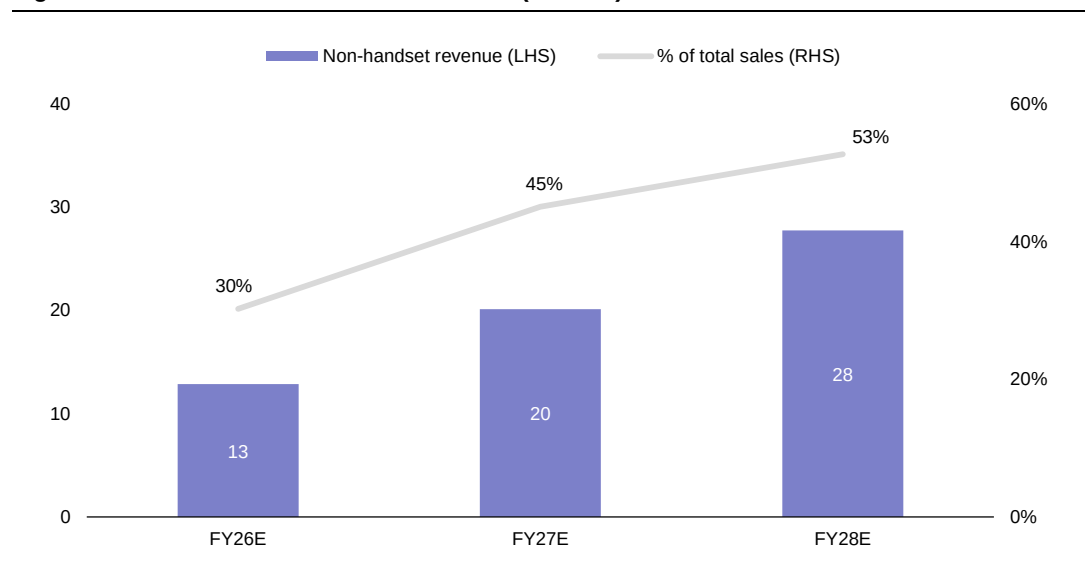
Sources: Company Data, GF Securities (Hong Kong) Brokerage

Non-Handset Growth Not Just Datacenters

The company raised non-handset revenue from \$22bn to \$40bn on June 24

According to Qualcomm's Investor Day on June 24, the company's non-handset revenue engine is transitioning from a supporting role to the key driver of long term growth, and the scale of that shift is larger than expected. Mgmt raised its FY29 non-handset revenue target from \$22bn to \$40bn, a near doubling driven primarily by datacenter (\$15bn), with automotive increased to \$10bn and IoT largely unchanged at \$14bn. Specifically, automotive provides long duration revenue visibility with rising silicon content per vehicle, while IoT offers breadth, recurring design wins, and exposure to secular AI at the edge growth.

Figure 9: Qualcomm's non-handset revenue (USD bn)



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Automotive from \$6bn annualized revenue to \$10bn

According to Qualcomm, automotive alone is now exiting FY26 at \$6bn+ annualized revenue, and Qualcomm has logged 23 consecutive quarters of double-digit YoY growth in the segment. The company's design-win pipeline has expanded from \$45bn in 2024 to \$65bn, covering 70 automakers and 100+ Tier 1/2 suppliers. Importantly, its content value per vehicle has grown ~8x from Gen3 to Gen5, driven by richer digital cockpits, ADAS L2+, and generative AI workloads. This creates a multi-year revenue tail that is contractually backed and less cyclical than handsets.

For agentic AI, Qualcomm is building a unified, cross-domain agentic AI platform that spans cockpit, ADAS, autonomy, and in-car services. This will allow vehicle to be a continuously learning, context-aware system. That said, that trend increases requirements of compute, memory bandwidth, and heterogeneous processing, areas where Qualcomm's Snapdragon Flex architecture is advantaged. Additionally, Qualcomm's roadmap shows agentic AI driving new workloads such as token generation for inference, on-board AI workflows, and L3/L4 autonomy accelerators built on High Bandwidth Compute (HBC).

Figure 10: Qualcomm's platform for agentic AI in vehicles



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 11: Qualcomm automotive SoC roadmap

Generation	Timeframe	SoC	Process Node	CPU	Primary Domain	AI Compute	Features
Gen1	2014	Snapdragon 602A	28nm	Krait 4-core	Entry infotainment	None	CPU 13.5k DMIPS GPU 192G FLOPS Bandwidth 1.5GHz
Gen2	2016	Snapdragon 820A	14nm	Kryo 4-core	Premium cockpit	None	CPU 28k DMIPS GPU 480G FLOPS Bandwidth 2GHz
Gen3	2019	SA8155	7nm	Kryo 8-core	Mass-market cockpit	8T OPS	CPU 105k DMIPS GPU 1.1T FLOPS Bandwidth 2.96GHz
Gen4	2021	SA8295	5nm	Kryo 8-core	AI Cockpit	30T OPS	CPU 150k DMIPS GPU 3T FLOPS Bandwidth 2.4GHz
Gen5	2023	SA8775	4nm	Kryo 8-core	AI Cockpit + ADAS	144T OPS	CPU 230k DMIPS GPU 1.3T FLOPS Bandwidth 3.2GHz
Gen6	2025	SA8797	4nm	Oryon 18-core	AI Cockpit + Central Compute / ADAS / AD	640T OPS	CPU 660k DMIPS GPU 8.1T FLOPS Bandwidth 3.4GHz

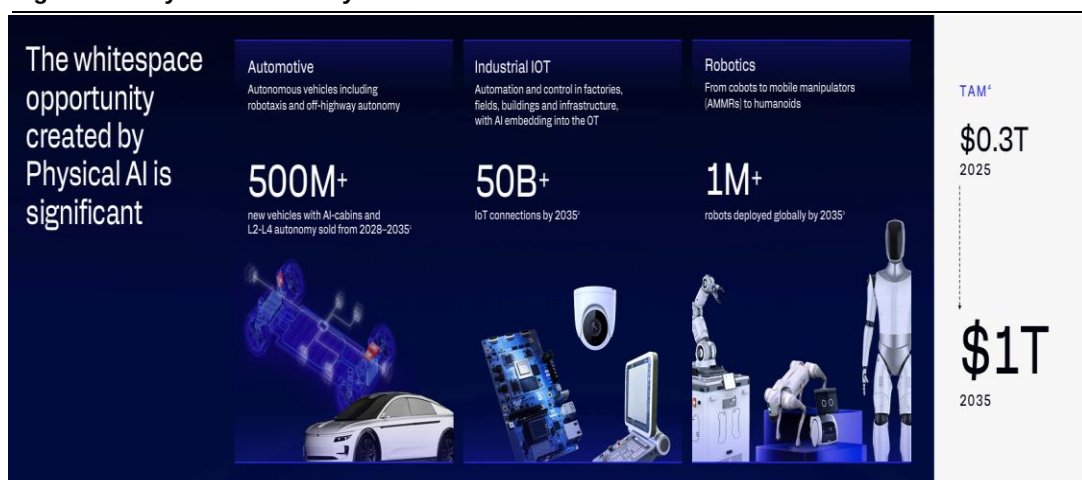
Sources: Company data, GF Securities (Hong Kong) Brokerage

IoT is another major pillar

The company expects \$6bn from personal AI and compute (smart glasses, earbuds, wearables, PCs, tablets, Chromebooks) and \$8bn from industrial, networking, and robotics. The industrial IoT roadmap is compelling, as Qualcomm is building a full stack platform including silicon, connectivity, embedded software, edge AI enablement, and vertical application layers. Qualcomm indicated there are 38,000+ unique customers, 200+ hardware partners, 35+ distributors, and a developer ecosystem anchored by Arduino's 33M+ users. The company explicitly states that industrial AI will drive an upgrade cycle across verticals over the next decade.

Qualcomm's robotics strategy is part of its Physical AI vision, centered on enabling machines that can sense, think, and act in real time. Powered by the Dragonwing platform and Qualcomm's heterogeneous compute blocks (CPU, GPU, NPU, ISP, sensor fusion), robots gain on-device AI for SLAM (Simultaneous Localization and Mapping), segmentation, optical flow, 3D reconstruction, and spatial reasoning. Qualcomm is building a full robotics stack—sensors, controls, embedded software, edge-AI enablement, and application layers. This positions Qualcomm to tap into a Physical AI market expected to reach \$1T by 2035.

Figure 12: Physical AI TAM by 2035



Sources: Company Data, GF Securities (Hong Kong) Brokerage

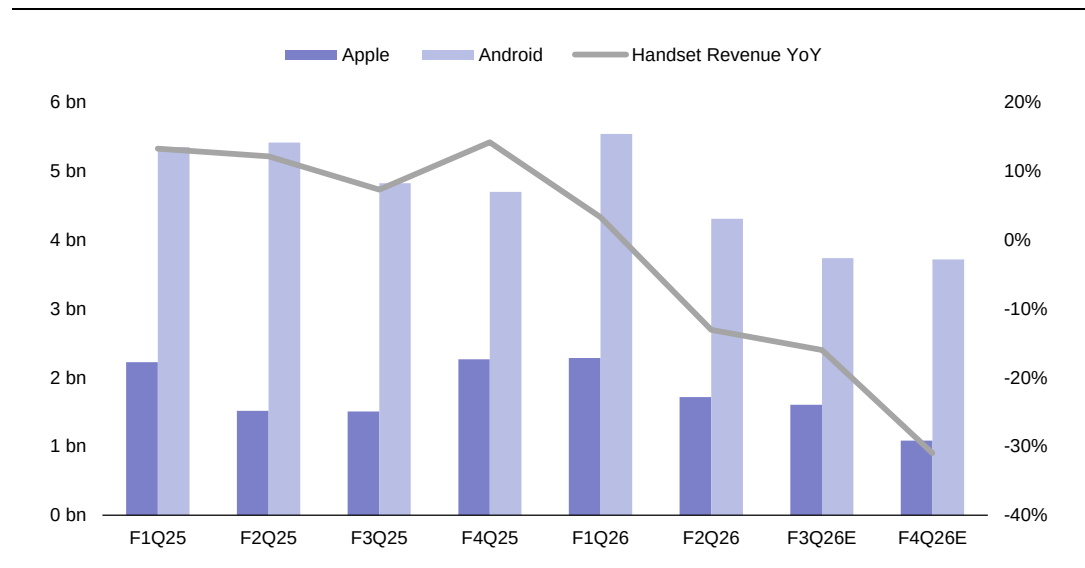
Smartphone Headwinds, Partly Offset by Spec/Pricing

Mgmt's view of Android revenue bottom-out likely overly optimistic

Qualcomm's F3Q26 (June-quarter) handset guidance weakness is directly tied to memory supply shortages at Chinese Android OEMs, which forced OEMs to cut build plans and run shipments meaningfully below end-demand. Mgmt was explicit that China Android revenue will bottom in F3Q and returns to sequential growth in F4Q, once memory availability normalizes and OEMs resume more typical build patterns.

However, we expect the demand to worsen into CY2H26, due to memory price strength, Apple's iPhone 18 and consumer purchasing power. In addition, due to poor demand and high processed wafer volume (which can't be changed to other applications), we believe the inventory is high; on the other hand, we believe the inventory at MTK is low, due to MTK's earlier de-focus on smartphones.

Figure 13: Qualcomm's handset revenue



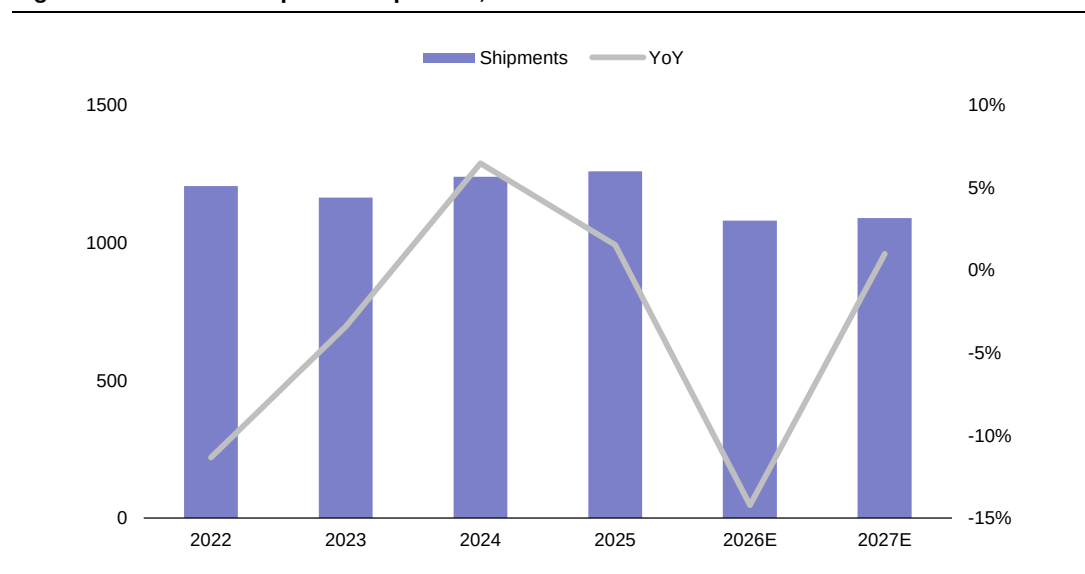
Sources: Company data, GF Securities (Hong Kong) Brokerage

Smartphone market outlook to remain muted

It is a surprise that we expect global smartphone demand to remain subdued. According to our Monthly Edition report, we forecast global smartphone to be down 14% in 2026. For 2027, we expect global smartphone shipments to recover by only 1% YoY. That said, 2026-2027 will be one of the most challenging periods for the industry, driven primarily by sharply higher memory prices, which have already pushed OEMs to reduce shipments and raise device prices.

In several markets, third-party research firm IDC highlights that smartphone prices have risen 40–50%, significantly weighing on demand and limiting replacement cycles. IDC expects these supply-driven pressures, combined with rising component, energy, and logistics costs, to keep 2026 growth muted, with vendors increasingly relying on premium models and cost-cutting measures to preserve margins.

Figure 14: Global smartphone shipments, YoY



Sources: IDC, GF Securities (Hong Kong) Brokerage

Apple business phase-out well expected, but still keeping a small bite

Qualcomm's recent earnings calls have been consistently clear on the Apple modem situation. Mgmt continues to warn that Apple's shift to in-house modems will reduce Qualcomm's future chip revenue, even though the company still supplies modems for current iPhone launches. In multiple calls, Qualcomm reiterated that Apple's first device using an internal modem—the iPhone 16e—has already begun reducing Apple-related modem volumes, and that this trend will intensify over time as Apple expands deployment of its own silicon. In the Q2 FY26 earnings call, Qualcomm stated that its planning framework assumes no Apple modem share beyond the current multi-year supply agreement. This reflects Qualcomm's long-standing practice of assuming Apple modem revenue goes to zero after the contracted period.

The most recent publicly disclosed deal was announced on September 11, 2023, when Qualcomm confirmed that Apple had signed a multi-year agreement for Qualcomm to supply Snapdragon 5G Modem-RF Systems for iPhone launches in 2024, 2025, and 2026. For 2026, according to MacRumors news on July 3rd, Tata Electronics, one of Apple's manufacturing partners in India, was hit by a ransomware attack that resulted in more than 200,000 internal files being posted online, including component lists, supplier data, and images of iPhone 18 Pro test units. A bill of materials for the U.S. variant lists Qualcomm components, including the SDX80M and other parts associated with mmWave 5G, a feature Apple's C-series modems still lack, for iPhone 18 Pro models.

Figure 15: iPhone's modem

	Year	Modem
iPhone 15	2023	Qualcomm X70
iPhone 15 Plus	2023	Qualcomm X70
iPhone 15 Pro	2023	Qualcomm X70
iPhone15 Pro Max	2023	Qualcomm X70
iPhone 16	2024	Qualcomm X71
iPhone 16 Plus	2024	Qualcomm X71
iPhone 16 Pro	2024	Qualcomm X71
iPhone 16 Pro Max	2024	Qualcomm X71
iPhone 16e	2025	Apple C1
iPhone 17	2025	Qualcomm X80
iPhone 17 Pro	2025	Qualcomm X80
iPhone 17 Pro Max	2025	Qualcomm X80
iPhone Air	2025	Apple C1X
iPhone 17e	2026	Apple C1X
iPhone 18 Pro	2026E	Qualcomm X80 (US) / Apple C2 (Elsewhere)
iPhone 18 Pro Max	2026E	Qualcomm X80 (US) / Apple C2 (Elsewhere)
iPhone 18 Fold	2026E	Qualcomm X80 (US) / Apple C2 (Elsewhere)
iPhone 18	1Q27E	Apple C2
iPhone 18e	1Q27E	Apple C2
iPhone Air 2	1Q27E	Apple C2

Sources: Company Data, GF Securities (Hong Kong) Brokerage

Likely share pressure in smartphone, not only in Samsung but OPPO/Vivo

According to Counterpoint, Qualcomm's smartphone chipset share has slipped as multiple pressures converged. Counterpoint's data suggests Qualcomm fell from 27% in 1Q25 to 23% in 1Q26 amid smartphone market softness, due to Apple's share gain (vs. Android), entry-level pressure where Snapdragon 4/6-series are relatively uncompetitive and Samsung's strategic shift toward in-house Exynos silicon including using the Exynos 2600 in many Galaxy S26 variants.

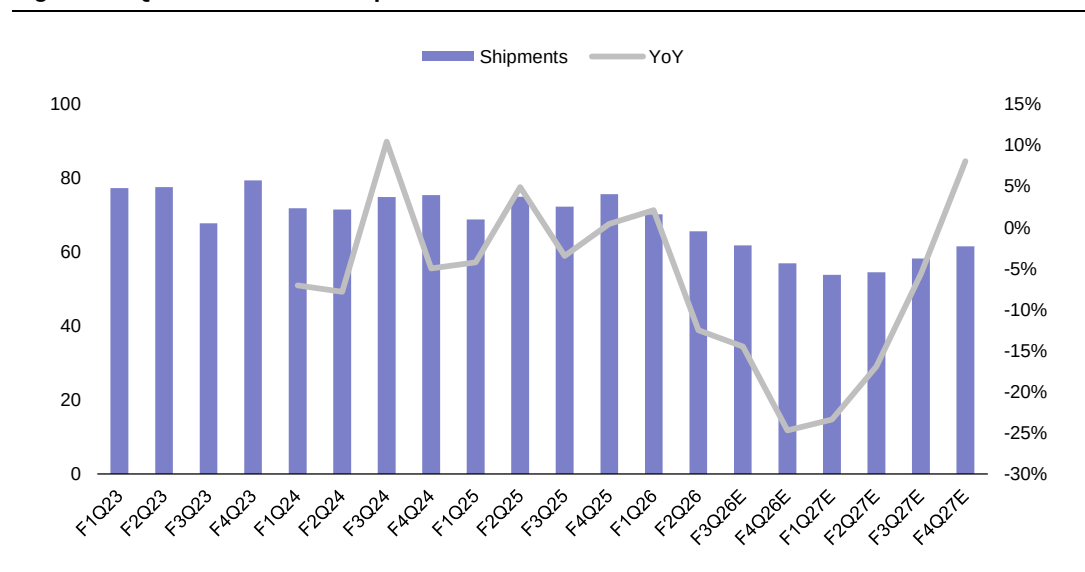
Furthermore, we expect the likely loss in OPPO and Vivo's flagship Ultra models, likely pressured by MediaTek's 2nm SoC in late this year.

Figure 16: Samsung flagship models SoC

	S24 (China & US Version)	S24 (Other Version)	S25	S26 (China & US Version)	S26 (Other Version)	S27 (China & US Version)	S27 (Other Version)
Date	2024	2024	2025	2026	2026	1Q27	1Q27
SoC	Snapdragon 8 Gen 3	Exynos 2400	Snapdragon 8 Elite	Snapdragon 8 Elite Gen5	Exynos 2600	Snapdragon 8 Elite Gen6 Pro	Exynos 2700
Vendor	Qualcomm	Samsung	Qualcomm	Qualcomm	Samsung	Qualcomm	Samsung
Process Node	N4P	4FF	N3E	N3P	SF2	N2	SF2
CPU	8-core Kryo; 1× Cortex-X4 + 5× A720 + 2× A520	10-core Arm; 1× Cortex-X4 + 5× A720 + 4× A520	8-core Oryon Gen2; 2× Prime + 6× Performance	8-core Oryon Gen3; 2× Prime + 6× Performance	10-core Arm C1; 1× Ultra + 3× Pro + 6× Pro	8-core Oryon Gen4	10-core Arm
GPU	Adreno 750	Xclipse 940	Adreno 830	Adreno 840	Xclipse 960	Adreno 850	Xclipse 970
NPU	Hexagon NPU	Samsung NPU	Hexagon NPU	Hexagon NPU	Samsung NPU	Hexagon NPU	Samsung NPU

Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 17: Qualcomm's SoC shipments in Android



Sources: IDC, GF Securities (Hong Kong) Brokerage

Smartphone SoC roadmap little excitement but ASP/pricing trends favorable

From a product roadmap standpoint, Qualcomm builds segmented, foundry-diversified portfolio in 2025 to 2026, splitting production between TSMC and Samsung advanced nodes to balance supply capacity, cost and market coverage. Its flagship stack advances sequentially from TSMC 3nm SDM8750 (2025H1) to TSMC 3nm SDM8850, while has Samsung 4nm SDM7750 in late-2025. Looking ahead, it is expected to roll out top-tier TSMC 2nm SDM8975/8950 in late 2026 with mid-range and entry models adopt TSMC/Samsung 4nm. This dual-foundry strategy mitigates TSMC's tight advanced node supply constraints, while tiered silicon generations let Qualcomm target every smartphone segment.

In terms of CPU performance and power efficiency, Qualcomm's competitiveness hinges on its proprietary Nuvia custom CPU architecture deployed across all high-end and premium chips, delivering stronger single-threaded and multi-threaded performance versus generic Arm reference cores used by many competitors.

ASP wise, driven by 2nm, we expect the flagship pricing to counter rising memory costs and to rise from SDM8850's price cut from \$190–200 (at launch) to SDM8975's \$220–230 and SDM8950's \$180–\$190, suggesting a favorable trend for ASPs. Additionally, according to Technews on June 22, it is reported that MTK has initiated a price hike for smartphone SoCs, and we expect the magnitude to be ~10%. We believe that Qualcomm has also initiated the price hike, and the action was earlier than MTK's.

Figure 18: Qualcomm's SoC roadmap for 8 series and 7 series

	SDM8750	SDM8735	SDM8850	SDM7750	SDM8845	SDM8950	SDM8975
Code Name	Pakala SM8750	Bonito SM8735	Kaanapali SM8850	Eliza SM7750	Molokai SM 8845	Mali SM8950	Hawit SM8975
Schedule	1H25	1H25	mid-2025	2H25	1H26	2H26	2H26
Process Node	N3E	4FF	N3P	4FF	N3P	N2P	N2P
Foundry	TSMC	Samsung	TSMC	Samsung	TSMC	TSMC	TSMC
Estimated Price at Launch	\$70-75	\$75-85	\$190-200	\$40-50	\$80-85	\$180-190	\$220-230

Sources: Company data, GF Securities (Hong Kong) Brokerage

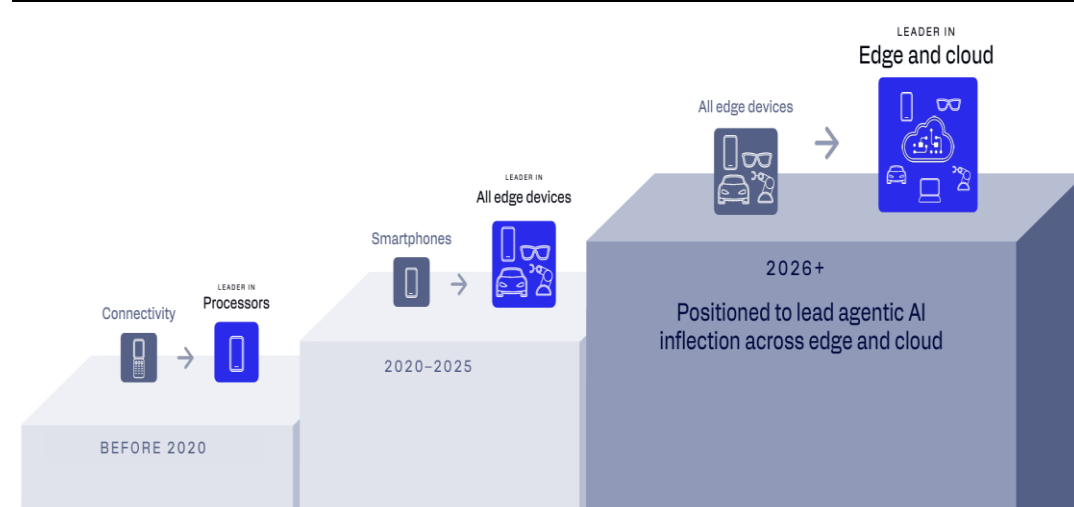
Company Overview

Founded in 1985, Qualcomm is a global leader in wireless communications and edge computing semiconductors. The company specializes in Snapdragon application processors, cellular modems, RF front-end solutions, and connectivity chips, serving handsets, automotive, IoT and industrial sectors. Historically, the company dominated premium smartphone SoC and cellular modem markets with Apple and Samsung the largest customers, owning 3G/4G/5G standard-essential patents which generate royalties from nearly every device shipped globally.

Qualcomm is transforming toward diversified computing platforms and reducing the dependence on handsets. Apple's modem insourcing starting CY4Q26 is expected to reduce Qualcomm's handset revenue significantly, with mgmt. estimating handset revenue declining to ~1/3 of QCT revenue by FY29 vs. 72% in FY25. Meanwhile, the company is expanding in automotive and IoT, with \$65bn design-win pipeline in automotive and edge AI potential as a key unlock, targeting \$10bn/14bn revenue from auto/IoT in FY29.

AI datacenter is Qualcomm's next focus and major growth engine. The company expects AI DC business to begin contributing revenue in FY26 and exceed \$15bn by FY29, spanning AI accelerators, CPUs, custom silicon and connectivity solutions. In 2025, Qualcomm strengthened its AI infrastructure capabilities through the acquisition of Alphawave, adding leading high-speed SerDes, PCIe, CXL and UCle interconnect IP that complements its AI accelerator and CPU roadmap. In 2026, Qualcomm acquired Modular, bringing a unified AI software stack capable of deploying workloads across CPUs, GPUs and NPUs to build a vertically integrated AI platform comparable to Nvidia's CUDA ecosystem. Together with the earlier acquisition of Nuvia in 2021, bringing proprietary Oryon CPU architecture, these investments demonstrate Qualcomm's strategy to transform toward an AI datacenter platform provider beyond its traditional mobile franchise.

Figure 19: Qualcomm's strategic evolution



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 20: Qualcomm's shareholder structure

Major Shareholder	Shares Held	%
New Labor Pension Fund	12,456,747	6.4
Uni-President Asset Management Corp.	9,231,411	4.7
Fidelity Investment	9,139,712	4.7
Hwa Tse Liang & Inru Kuo	9,018,671	4.6
Vanguard Group Inc.	7,838,699	4.0
Fubon Financial Holding	7,313,579	3.8
Blackrock Inc.	6,707,993	3.5
Norges Bank	6,608,647	3.4
Liang Family Irrevocable Trust	5,372,080	3.4
Allianz Global Investors Taiwan Technology Fund	4,645,466	2.8

Sources: Company data, GF Securities (Hong Kong) Brokerage, as of July 3, 2026

Business Segments

- 1) QCT (Qualcomm CDMA Technology):** FY25 revenue reached \$38.4bn, representing 87% of total revenue or 16% YoY increase, and EBT margin of 30.4%. This segment comprises Handsets, Automotive, IoT, and new added Datacenter, contributing \$27.8bn/4.0bn/6.6bn/0bn revenue in FY25, or 63%/9%/15%/0% of total revenue, where Datacenter is expected to start contributing revenue from FY26.

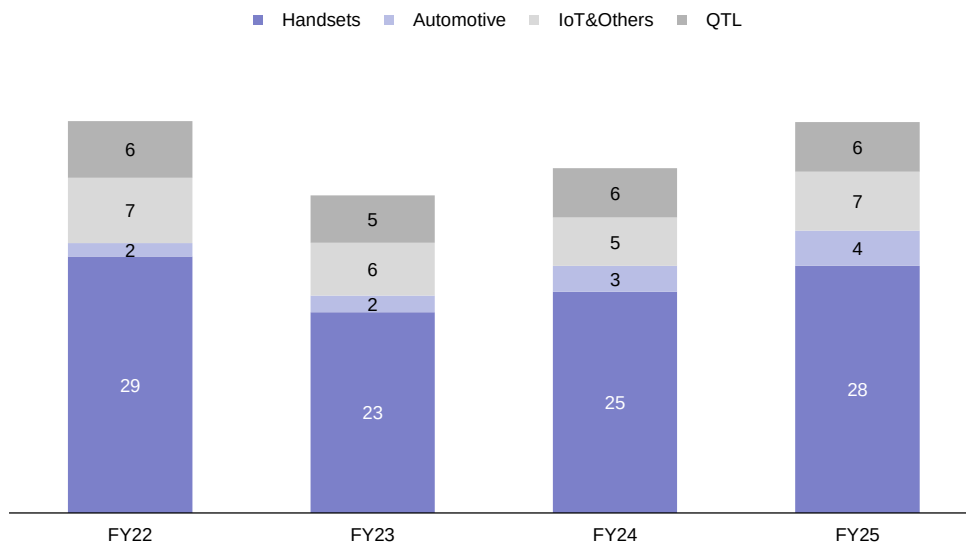
Handsets primarily include Snapdragon SoCs, modem-RF and connectivity chips used in smartphones; Automotive mainly consists of Snapdragon Digital Chassis platform for digital cockpit, ADAS and vehicle connectivity; IoT includes processors and connectivity solutions for PCs, industrial IoT, networking and edge AI devices; Datacenter comprises AI accelerators, CPUs, custom silicon and connectivity solutions.

We estimate Qualcomm's QCT revenue to be \$36.8bn/39.3bn/47.1bn in FY26E/FY27E/FY28E, or -4%/7%/20% YoY. For Handsets, we forecast revenue of \$24bn/19.2bn/19.4bn in FY26-28E, or -14%/-20%/1% YoY; for Automotive, we forecast revenue of \$5.3bn/6.6bn/8.1bn in FY26-28E, or 34%/24%/23% YoY; for IoT, we forecast revenue of \$7.2bn/8.8bn/10.8bn in FY26-28E, or 9%/22%/23% YoY; for Datacenter, we forecast revenue of \$0.3bn/4.7bn/8.8bn in FY26-28E.

- 2) QTL (Qualcomm Technology Licensing):** FY25 revenue reached \$5.6bn, representing 13% of total revenue or flat YoY, and EBT margin of 72.5%. This segment licenses Qualcomm's portfolio of 3G/4G/5G standard-essential patents, and wireless technologies to global handset manufacturers, generating stable and high-margin recurring royalty income from nearly every device shipped globally.

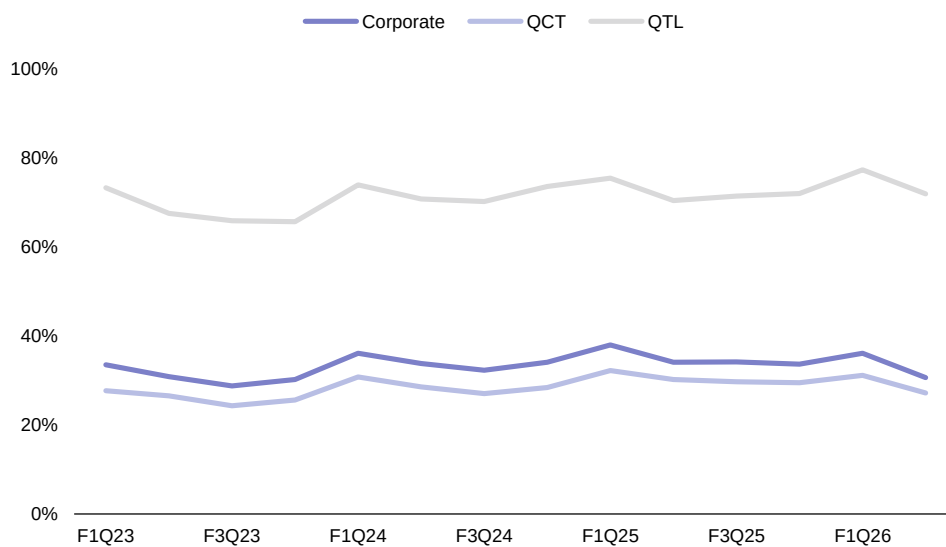
We estimate Qualcomm's QTL revenue to be \$5.5bn/5.3bn/5.5bn in FY26E/FY27E/FY28E, or -2%/-3%/4% YoY.

Figure 21: Qualcomm's revenue by segment (USD bn)



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Figure 22: Qualcomm's EBT margin by segment



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Snapdragon Platform Expansion

Snapdragon was Initially developed as Qualcomm's premium smartphone application processor, now evolving into a unified computing edge AI platform spanning smartphones, PCs, XR, automotive, and IoT. Qualcomm is able to reuse IP across multiple end markets by leveraging the common technology stack across custom CPU, GPU, NPU, connectivity, and AI software to accelerate product development, and improve R&D efficiency. We believe Qualcomm could leverage its decades of Snapdragon heritage to accelerate the expansion beyond smartphones into edge AI and datacenter AI.

Figure 23: Snapdragon platform expansion



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Financial Forecast

FY2Q26 results review

Qualcomm hosted its FY2Q26 earnings conference on April 29, 2026. The FY2Q26 revenue reported -13.5% QoQ, inline with Street, with QCT business of -14.5% QoQ by handsets drag. Handsets revenue exhibited -23% QoQ, driven by OEMs' conservative pull-in given the increasing memory price. Automotive revenue reached a new record high by +20.4% QoQ, driven by adoption of 4th generation chipsets and higher content per vehicle from ADAS and autonomous driving. IoT revenue rose by 2.3% QoQ, mainly driven by consumer and industrial sectors. QTL revenue remained stable around \$1.3-1.5bn. EPS arrived at \$2.65, slightly beat Street's consensus, due to lower-than-guided OPEX.

FY25 results review

Qualcomm reported FY25 revenue of \$44.1bn, +13% YoY; gross profit of \$24.7bn; GPM of 55.9%, -0.9ppt YoY; Net income of \$13.3bn, +15% YoY; Diluted EPS of \$12.05, +18% YoY. By segment, QCT revenue reached \$38.4bn, +16% YoY, representing 87% of total revenue. For sub-sectors, Handsets revenue reached \$27.8bn, +12% YoY, 63% of total sales; Automotive revenue arrived \$4.0bn, +36% YoY, 9% of total sales; IoT revenue reached \$6.6bn, +22% YoY, 15% of total sales. QTL revenue reached \$5.6bn, flat YoY, representing 13% of total sales.

We forecast EPS of \$10.7/11.3/14.6 in FY26-28

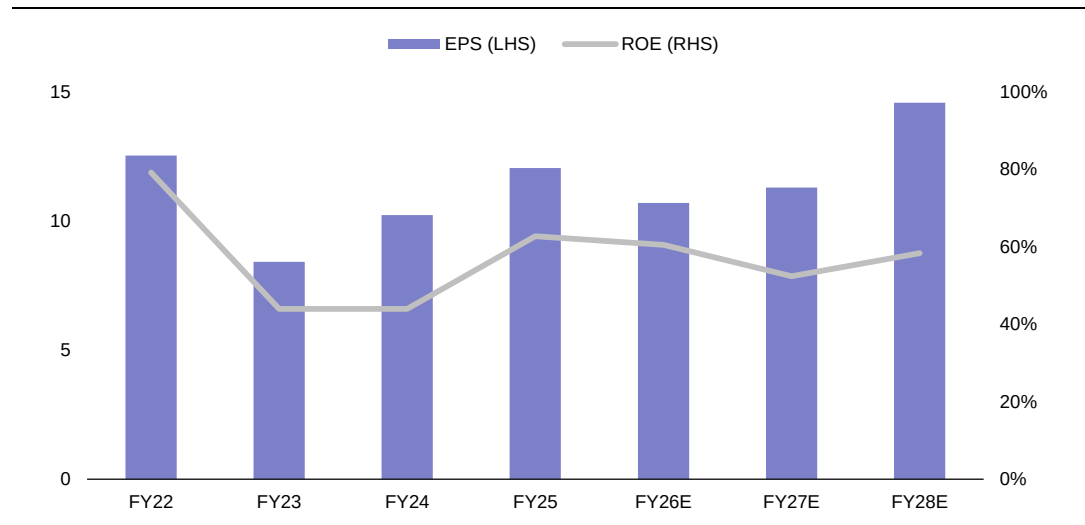
We forecast Qualcomm's revenue for FY26-28 to be \$42.5bn/44.7bn/52.6bn, reflecting the fading handset revenue of \$24bn/19.2bn/19.3bn, down from \$27.8bn in FY25, and accelerating datacenter revenue of \$0.3bn/4.7bn/8.8bn offset handset headwind. Profitability wise, we expect GM to remain 55%-56% in FY26-28, while OPM could be lower due to higher R&D expenditure on datacenter. Net, we expect the handset business to undergo a downturn while datacenter could fuel revenue and profitability as it ramps. Net income for FY26-28 is expected to be \$11.4bn/11.8bn/14.7bn respectively, representing -14%/3%/24% YoY. We forecast EPS of \$10.7/11.3/14.6 in FY26-28, from \$12.1 in FY25.

Figure 24: Qualcomm's P&L forecast

(USD m)	FY25	F1Q26	F2Q26	F3Q26E	F4Q26E	FY26E	F1Q27E	F2Q27E	F3Q27E	F4Q27E	FY27E
Sales	44,140	12,252	10,599	9,906	9,733	42,490	11,068	10,280	10,905	12,417	44,671
COGS	19,470	5,485	4,805	4,464	4,311	19,065	4,875	4,519	4,883	5,580	19,857
Gross profit	24,670	6,767	5,794	5,442	5,422	23,425	6,194	5,761	6,023	6,837	24,814
Opex	9,216	2,353	2,514	2,605	2,628	10,100	2,601	2,570	2,726	2,918	10,815
Operating profit	15,454	4,414	3,280	2,837	2,794	13,325	3,593	3,191	3,296	3,919	13,999
Non-op profit	3	-42	-34	-52	-65	-193	-108	-108	-108	-108	-433
Pre-tax profit	15,457	4,372	3,246	2,785	2,730	13,132	3,484	3,082	3,188	3,810	13,565
Income tax	2,158	591	406	362	355	1,714	453	401	414	495	1,763
Minority Interest	0	0	0	0	0	0	0	0	0	0	0
Net Income	13,299	3,781	2,840	2,423	2,375	11,419	3,031	2,682	2,774	3,315	11,802
EPS (\$)	12.05	3.50	2.65	2.28	2.26	10.7	2.86	2.55	2.66	3.21	11.3
Outstanding shares	1,104	1,079	1,072	1,062	1,052	1,066	1,061	1,051	1,041	1,031	1,046
Margin analysis											
Gross margin	55.9%	55.2%	54.7%	54.9%	55.7%	55.1%	56.0%	56.0%	55.2%	55.1%	55.5%
Operating margin	35.0%	36.0%	30.9%	28.6%	28.7%	31.4%	32.5%	31.0%	30.2%	31.6%	31.3%
Pre-tax margin	35.0%	35.7%	30.6%	28.1%	28.0%	30.9%	31.5%	30.0%	29.2%	30.7%	30.4%
Effective tax rate	14.0%	13.5%	12.5%	13.0%	13.0%	13.1%	13.0%	13.0%	13.0%	13.0%	13.0%
Growth (YoY%)											
Sales	13%	5%	-2%	-4%	-14%	-4%	-10%	-3%	10%	28%	5%
Operating profit	16%	1%	-11%	-21%	-27%	-14%	-19%	-3%	16%	40%	5%
Net income	15%	-1%	-10%	-20%	-27%	-14%	-20%	-6%	14%	40%	3%
EPS	18%	3%	-7%	-18%	-25%	-11%	-18%	-4%	17%	42%	6%
Product mix (%)											
QCT	87%	87%	86%	88%	87%	87%	87%	87%	88%	89%	88%
Handsets	63%	64%	57%	54%	49%	56%	50%	44%	40%	38%	43%
Automotive	9%	9%	13%	14%	15%	12%	13%	15%	16%	15%	15%
IoT & Others	15%	14%	16%	19%	20%	17%	18%	21%	21%	20%	20%
Datacenter	0%	0%	0%	1%	2%	1%	7%	7%	11%	16%	11%
QTL	13%	13%	13%	12%	13%	13%	13%	13%	12%	11%	12%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 25: Qualcomm's EPS (USD\$), ROE

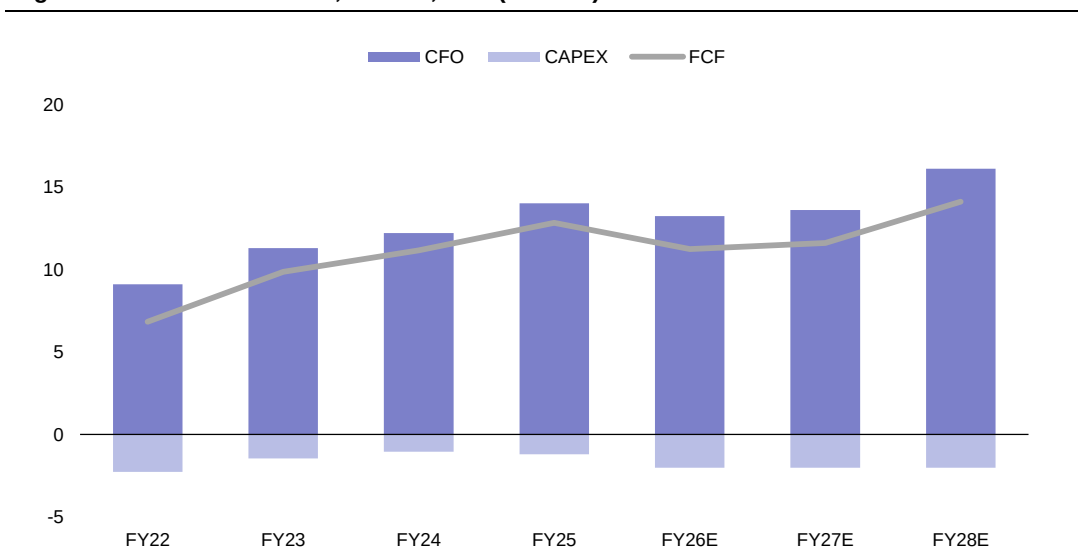


Sources: Company Data, GF Securities (Hong Kong) Brokerage

Cash Flow

Qualcomm's net cash from operating activities rose to \$14bn in FY25, demonstrating robust cash generation from core operations, while we expect it to fall to \$13.2bn/13.6bn in FY26E/FY27E, given declining revenue from handset business and higher R&D expenditure on datacenter, both driving lower net income. However, we expect CFO to recover to \$16.1bn in FY28 as datacenter business accelerates. CAPEX wise, it remained in the range of \$1bn-1.5bn in FY22-FY25, but is expected to expand to ~\$2bn in FY26-28E as mgmt. stated the company would increase CAPEX mostly for testing equipment in datacenter. As such, Qualcomm delivered positive FCF of \$12.8bn in FY25, and we expect it to reach \$14.1bn in FY28E against datacenter business ramps, suggesting internal cash generation remains sufficient to fund expansion.

Figure 26: Qualcomm's CFO, CAPEX, FCF (USD bn)



Sources: Company Data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

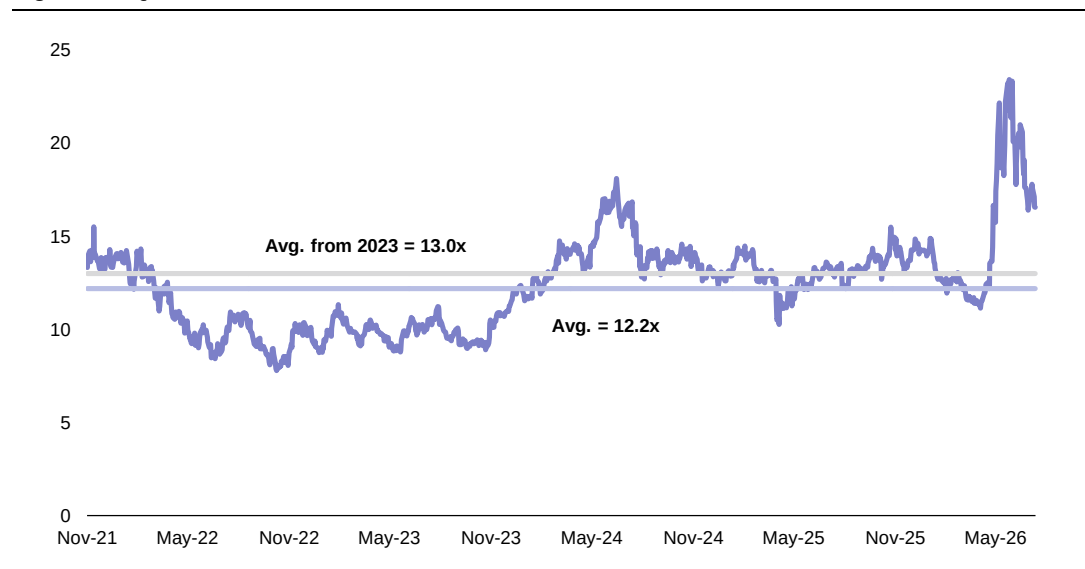
Initiate Hold with TP of \$203

We rate Qualcomm (QCOM US) Hold and set our TP at \$203, which is based on 18x FY27E EPS estimate, a level we view as justified and above the company's historical mid-cycle level of 12.2x since 2021 or 13x since 2023 when AI cycle took off, following the recent re-rating driven by Qualcomm's entry into datacenter market. Additionally, we project its ROE will recover to stay at 50-60% level by FY28E due to capital return and stable earnings helped by non-handset business. We still adopt P/E methodology as we believe the market focuses more on its earnings outlook and is our valuation method for all fabless firms we covered.

Qualcomm's P/E traded at an average of 12.2x since 2021 and outperformed in 1H24 driven by Snapdragon X Elite's launch for AI PCs. However, the Windows on ARM AI PC appears weaker than expected. That said, the stock will have to deliver new non-handset drivers to boost its valuation multiple, and we believe the on-going efforts on datacenter will be an important one.

Our target price is 40-45% higher than its mid-cycle level, as we believe the new datacenter business could be an emerging new driver. Of course, the market has reflected part of that. For the valuation to go higher, the investors will have to see its ramp-up for custom silicon by end of this year, design-wins for AI250 (which we mentioned in report context) and more competitive roadmap amid narrowed cost advantages in memory prices.

Figure 27: QCOM 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI slowdown; 2) smartphone softness; 3) new product delay; 4) competition.

Balance Sheet						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Current assets	25,231	25,754	21,775	22,738	26,767	
Cash and cash equivalents	13,300	12,478	8,887	9,251	10,826	
Inventory	6,423	6,526	6,390	6,656	7,890	
Accounts Receivable	3,929	4,315	4,154	4,367	5,146	
Other current assets	1,579	2,435	2,344	2,464	2,904	
Non-current assets	29,923	24,389	31,598	36,345	36,934	
Long-term equity investment	1,341	1,379	1,879	6,299	6,799	
Fixed assets	4,665	4,690	5,330	5,657	5,746	
Other long-term assets	23,917	18,320	24,389	24,389	24,389	
Total assets	55,154	50,143	53,373	59,083	63,701	
Current liabilities	10,504	9,144	10,915	11,506	13,215	
Accounts Payable	2,584	2,791	2,733	2,846	3,375	
Short-term borrowings	1,364	-	2,067	2,231	2,264	
Other current liabilities	6,556	6,353	6,116	6,429	7,577	
Non-current liabilities	18,376	19,793	23,585	25,057	25,357	
Long-term Debt	13,270	14,811	18,603	20,075	20,375	
Other non-current liabilities	5,106	4,982	4,982	4,982	4,982	
Total liabilities	28,880	28,937	34,500	36,564	38,572	
Total Equity	26,274	21,206	18,873	22,519	25,129	
Share Capital	-	-	-10,000	-14,264	-22,464	
Additional Paid-in Capital	587	560	560	560	560	
Retained earnings	25,687	20,646	28,313	36,223	47,033	
Minority interests	-	-	-	-	-	
Total Liabilities & Equity	55,154	50,143	53,373	59,083	63,701	

Income Statement						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Revenue	38,943	44,140	42,490	44,671	52,644	
Cost of sales	16,828	19,470	19,065	19,857	23,541	
Gross profit	22,115	24,670	23,425	24,814	29,103	
Operating Expense	8,796	9,216	10,100	10,815	11,826	
Operating profit	13,319	15,454	13,325	13,999	17,277	
Interest Income	675	639	502	426	472	
Interest Expense	697	664	710	860	899	
Net other Non-op. Income/(Loss)	-12	28	15	-	-	
Pre-tax profit	13,285	15,457	13,132	13,565	16,850	
Income tax	1,739	2,158	1,714	1,763	2,191	
Profit for the year	11,546	13,299	11,419	11,802	14,660	
Minority interest	-	-	-	-	-	
Net profit to ord. equity	11,546	13,299	11,419	11,802	14,660	
EPS (\$)	10.2	12.1	10.7	11.3	14.6	

Cash Flow Statement						USD mn
	FY24	FY25	FY26E	FY27E	FY28E	
Operating cash flow	12,202	14,012	13,192	13,624	16,114	
Profit for the year	11,546	13,299	11,419	11,802	14,660	
Depreciation & amortization	1,706	1,602	1,681	1,994	2,233	
Change in working capital	-75	-282	93	-172	-778	
Others	-975	-607	-	-	-	
Investing cash flow	-3,623	-800	-8,890	-6,741	-2,821	
Capex	-1,018	-1,306	-2,000	-2,000	-2,000	
Change in investment	-105	-38	-500	-4,420	-500	
Others	-2,500	544	-6,390	-321	-321	
Free cash flow	8,579	12,820	11,238	11,600	14,127	
Financing cash flow	-9,269	-13,196	-7,893	-6,519	-11,718	
Change in Capital	-6,853	-18,367	-13,751	-8,156	-12,050	
Net Change in Debt	-764	177	5,859	1,636	332	
Others	-1,652	4,994	-	-	-	
Exchange influence	12	-22	-	-	-	
Net increase in cash	-678	-6	-3,591	363	1,575	

Key Financial Ratios					
	FY24	FY25	FY26E	FY27E	FY28E
Growth					
Revenue growth	8.7	13.3	-3.7	5.1	17.8
Operating profit growth	16.2	16.0	-13.8	5.1	23.4
Net profit growth	21.7	15.2	-14.1	3.4	24.2
Profitability					
Gross profit margin	56.8	55.9	55.1	55.5	55.3
Operating Profit Margin	34.2	35.0	31.4	31.3	32.8
Net profit margin	29.6	30.1	26.9	26.4	27.8
Key Ratio					
ROA	21.7	25.3	22.1	21.0	23.9
ROE	43.9	62.7	60.5	52.4	58.3
Stability					
Gross debt/equity	55.7	69.8	109.5	99.1	90.1
Interest Coverage	20.1	24.3	19.5	16.8	19.7
Current Ratio	2.4	2.8	2.0	2.0	2.0
Quick Ratio	1.8	2.1	1.4	1.4	1.4
Net debt/equity	5.1	11.0	62.4	58.0	47.0

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

Company ratings	Buy	Stock expected to outperform benchmark by more than 10%
	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

Sector ratings	Positive	Sector expected to outperform benchmark by more than 10%
	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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